ANNUAL OPERATING BUDGET

Highland Everett Manor | Las Vegas, NV

Property	Highland Everett Manor
Fiscal Year	2026
Submitted By	Redwood Property Management
Submitted	November 16, 2022

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$132,908	$133,648	$139,461	$6,553	4.9%	$1,515.88
5010 Loss to Lease	$96,128	$101,256	$103,790	$7,662	8.0%	$1,128.15
5020 Vacancy Loss	$203,552	$189,446	$195,563	-$7,989	-3.9%	$2,125.68
5030 Concessions	$38,924	$38,845	$40,814	$1,891	4.9%	$443.63
5040 Bad Debt	$101,019	$107,274	$111,822	$10,803	10.7%	$1,215.46
5050 Late Fees	$30,292	$29,272	$29,471	-$821	-2.7%	$320.33
5060 Utility Reimbursements	$190,081	$194,509	$203,982	$13,901	7.3%	$2,217.20
5070 Parking Income	$207,759	$217,903	$219,210	$11,452	5.5%	$2,382.72
5080 Application Fees	$189,314	$197,055	$205,904	$16,590	8.8%	$2,238.09
5090 Pet Rent	$15,373	$15,911	$16,466	$1,093	7.1%	$178.97
5100 Laundry Income	$106,565	$109,503	$115,109	$8,544	8.0%	$1,251.18
5110 Cable/Internet Revenue	$92,298	$99,626	$100,748	$8,450	9.2%	$1,095.09
5120 CAM Reimbursements	$115,214	$108,533	$108,685	-$6,529	-5.7%	$1,181.35
5130 Tax Reimbursements	$88,249	$90,112	$91,853	$3,604	4.1%	$998.40
5140 Insurance Reimbursements	$148,374	$141,894	$144,720	-$3,655	-2.5%	$1,573.04
5150 Percentage Rent	$208,964	$204,123	$204,521	-$4,444	-2.1%	$2,223.05
5160 Misc. Income	$42,929	$44,665	$44,978	$2,049	4.8%	$488.89
5170 Payroll - Management	$101,835	$98,886	$105,742	$3,907	3.8%	$1,149.37
5180 Payroll - Leasing	$46,949	$46,564	$47,684	$734	1.6%	$518.30
5190 Payroll - Maintenance	$9,874	$10,068	$10,350	$476	4.8%	$112.50
5200 Payroll Taxes & Benefits	$50,098	$53,553	$57,230	$7,132	14.2%	$622.07
5210 Repairs - Plumbing	$184,626	$197,198	$199,051	$14,424	7.8%	$2,163.60
5220 Repairs - HVAC	$12,492	$13,433	$14,327	$1,835	14.7%	$155.73
5230 Repairs - Electrical	$87,682	$94,232	$99,983	$12,301	14.0%	$1,086.78

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$58,503	$55,542	$56,990	-$1,514	-2.6%	$619.45
5420 Office Supplies	$71,230	$68,299	$72,900	$1,670	2.3%	$792.39
5430 Legal & Professional	$204,013	$188,403	$190,251	-$13,763	-6.7%	$2,067.94
5440 Accounting & Audit	$75,772	$81,760	$84,736	$8,965	11.8%	$921.04
5450 Licenses & Permits	$171,336	$167,965	$171,007	-$329	-0.2%	$1,858.77
5460 Management Fee	$109,467	$102,845	$104,877	-$4,590	-4.2%	$1,139.97
5470 Property Insurance	$203,054	$190,993	$191,621	-$11,432	-5.6%	$2,082.84
5480 Real Estate Taxes	$73,432	$68,624	$71,130	-$2,302	-3.1%	$773.15
5490 Asset Management Fee	$12,814	$12,455	$12,626	-$188	-1.5%	$137.24
5500 Replacement Reserves	$113,508	$105,533	$108,638	-$4,870	-4.3%	$1,180.85
5510 Roof Repairs	$120,723	$127,751	$136,625	$15,902	13.2%	$1,485.06
5520 Parking Lot Repairs	$188,937	$186,305	$198,169	$9,232	4.9%	$2,154.01
5530 Signage	$33,160	$32,251	$33,371	$210	0.6%	$362.72
5540 Tenant Improvements	$204,668	$208,343	$219,980	$15,312	7.5%	$2,391.09
5550 Leasing Commissions	$158,988	$162,802	$169,057	$10,069	6.3%	$1,837.58
5000 Gross Potential Rent	$89,445	$86,340	$90,561	$1,116	1.2%	$984.36
5010 Loss to Lease	$217,876	$218,369	$221,200	$3,323	1.5%	$2,404.34
5020 Vacancy Loss	$86,196	$91,347	$94,434	$8,239	9.6%	$1,026.46
5030 Concessions	$162,256	$155,358	$162,443	$187	0.1%	$1,765.68
5040 Bad Debt	$155,783	$164,079	$172,098	$16,315	10.5%	$1,870.63
5050 Late Fees	$217,062	$224,951	$237,062	$20,000	9.2%	$2,576.77
5060 Utility Reimbursements	$42,570	$44,317	$44,353	$1,783	4.2%	$482.10
5070 Parking Income	$57,653	$57,016	$60,448	$2,795	4.8%	$657.04
5080 Application Fees	$150,929	$162,645	$165,740	$14,811	9.8%	$1,801.52
5090 Pet Rent	$112,216	$115,264	$118,777	$6,561	5.8%	$1,291.05
5100 Laundry Income	$157,155	$162,497	$172,628	$15,472	9.8%	$1,876.39
5110 Cable/Internet Revenue	$169,112	$161,498	$161,982	-$7,129	-4.2%	$1,760.68
5120 CAM Reimbursements	$155,059	$160,183	$161,317	$6,258	4.0%	$1,753.45
5130 Tax Reimbursements	$144,128	$151,257	$152,159	$8,031	5.6%	$1,653.90
5140 Insurance Reimbursements	$29,315	$27,436	$28,339	-$976	-3.3%	$308.03
5150 Percentage Rent	$138,313	$147,360	$152,267	$13,954	10.1%	$1,655.08
5160 Misc. Income	$31,331	$28,952	$28,971	-$2,360	-7.5%	$314.90
5170 Payroll - Management	$36,703	$34,809	$36,873	$170	0.5%	$400.79
5180 Payroll - Leasing	$98,272	$99,372	$101,540	$3,269	3.3%	$1,103.70
5190 Payroll - Maintenance	$168,052	$180,527	$184,934	$16,883	10.0%	$2,010.15
5200 Payroll Taxes & Benefits	$37,785	$39,812	$40,425	$2,639	7.0%	$439.40
5210 Repairs - Plumbing	$174,697	$182,677	$184,445	$9,749	5.6%	$2,004.84
5220 Repairs - HVAC	$182,132	$178,664	$182,582	$450	0.2%	$1,984.59
5230 Repairs - Electrical	$39,998	$38,870	$41,286	$1,287	3.2%	$448.76
5240 Repairs - Appliances	$94,819	$87,765	$89,851	-$4,968	-5.2%	$976.64
5250 Painting & Decorating	$124,517	$126,131	$127,132	$2,614	2.1%	$1,381.87

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Income and Expense Review

Effective gross income for the trailing period was $165,000, representing a 2.2% increase over the prior year. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Debt service coverage ratio was 5.05x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.93% reflects the in-place income and the stabilized occupancy assumption. Occupancy stands at 93.8% with an average resident length of stay of 3 years.

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.80x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.91% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $10,000, representing a 8.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Operating expenses totaled $64,000 or approximately 16.18 per square foot, with real estate taxes representing the largest line item.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Occupancy stands at 96.9% with an average resident length of stay of 12 years. Service requests are tracked through a work-order system with an average completion time of 21 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

Occupancy stands at 94.1% with an average resident length of stay of 11 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Effective gross income for the trailing period was $9,000, representing a 7.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Occupancy stands at 88.4% with an average resident length of stay of 5 years. Operating expenses totaled $445,000 or approximately 47.74 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 7.25x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $357,000 or approximately 24.96 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 93.4% with an average resident length of stay of 3 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Collections for the period were 95.1% of billed charges, with bad debt of 6.7% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 17 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 88.3% of billed charges, with bad debt of 6.3% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 31 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Occupancy stands at 88.3% with an average resident length of stay of 4 years.

Operating Performance

Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 92.4% with an average resident length of stay of 8 years. The community provides assisted living and memory care services under a state-issued license with 41 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Effective gross income for the trailing period was $108,000, representing a 8.7% increase over the prior year. Operating expenses totaled $349,000 or approximately 29.98 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.07% reflects the in-place income and the stabilized occupancy assumption. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$205,636	$197,054	$199,836	-$5,800	-2.8%	$2,172.13
5290 Snow Removal	$12,350	$12,139	$12,436	$85	0.7%	$135.17
5300 Janitorial	$41,110	$42,082	$43,701	$2,590	6.3%	$475.01
5310 Pest Control	$193,538	$198,848	$209,396	$15,858	8.2%	$2,276.05
5320 Trash Removal	$210,483	$195,430	$207,042	-$3,442	-1.6%	$2,250.45
5330 Elevator Contract	$65,162	$64,385	$67,340	$2,179	3.3%	$731.96
5340 Fire & Life Safety	$61,199	$59,705	$61,528	$329	0.5%	$668.78
5350 Security	$165,940	$159,469	$170,054	$4,114	2.5%	$1,848.41
5360 Electricity - Common	$51,860	$50,975	$52,046	$187	0.4%	$565.72
5370 Gas - Common	$87,361	$82,353	$85,115	-$2,246	-2.6%	$925.16
5380 Water & Sewer	$107,017	$114,019	$116,272	$9,255	8.6%	$1,263.82
5390 Telephone/Internet	$98,676	$105,594	$108,189	$9,512	9.6%	$1,175.96
5400 Advertising	$172,934	$175,129	$180,441	$7,507	4.3%	$1,961.32
5410 Resident Events	$125,377	$123,621	$130,839	$5,462	4.4%	$1,422.16
5420 Office Supplies	$45,341	$48,634	$51,800	$6,459	14.2%	$563.05
5430 Legal & Professional	$173,268	$170,296	$181,730	$8,462	4.9%	$1,975.32
5440 Accounting & Audit	$62,522	$60,034	$64,131	$1,609	2.6%	$697.08
5450 Licenses & Permits	$63,336	$66,246	$66,710	$3,374	5.3%	$725.11
5460 Management Fee	$51,664	$48,140	$51,018	-$645	-1.2%	$554.55
5470 Property Insurance	$13,660	$13,237	$13,730	$70	0.5%	$149.24
5480 Real Estate Taxes	$209,805	$193,883	$195,123	-$14,683	-7.0%	$2,120.90
5490 Asset Management Fee	$154,106	$154,522	$157,474	$3,368	2.2%	$1,711.67
5500 Replacement Reserves	$54,906	$59,130	$61,989	$7,082	12.9%	$673.79
5510 Roof Repairs	$146,606	$147,550	$157,048	$10,442	7.1%	$1,707.04
5520 Parking Lot Repairs	$95,624	$94,183	$94,213	-$1,411	-1.5%	$1,024.06
5530 Signage	$86,030	$91,913	$96,166	$10,137	11.8%	$1,045.29
5540 Tenant Improvements	$68,352	$64,065	$66,595	-$1,757	-2.6%	$723.86
5550 Leasing Commissions	$95,927	$102,009	$107,750	$11,823	12.3%	$1,171.19
5000 Gross Potential Rent	$110,055	$102,165	$107,582	-$2,473	-2.2%	$1,169.37
5010 Loss to Lease	$169,011	$182,059	$184,669	$15,659	9.3%	$2,007.28
5020 Vacancy Loss	$80,846	$80,199	$83,188	$2,341	2.9%	$904.21
5030 Concessions	$21,813	$21,838	$22,839	$1,027	4.7%	$248.25
5040 Bad Debt	$93,443	$100,049	$104,799	$11,356	12.2%	$1,139.12
5050 Late Fees	$39,105	$36,791	$38,625	-$481	-1.2%	$419.83
5060 Utility Reimbursements	$181,378	$186,765	$197,137	$15,759	8.7%	$2,142.79
5070 Parking Income	$132,413	$137,756	$145,151	$12,738	9.6%	$1,577.73
5080 Application Fees	$100,345	$94,719	$98,189	-$2,156	-2.1%	$1,067.27
5090 Pet Rent	$90,163	$84,859	$85,937	-$4,226	-4.7%	$934.10
5100 Laundry Income	$95,292	$97,414	$98,837	$3,545	3.7%	$1,074.32
5110 Cable/Internet Revenue	$140,687	$149,324	$157,789	$17,102	12.2%	$1,715.10
5120 CAM Reimbursements	$179,089	$178,615	$190,530	$11,441	6.4%	$2,070.98
5130 Tax Reimbursements	$45,309	$43,792	$46,134	$824	1.8%	$501.45

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Financial Analysis

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Operating expenses totaled $75,000 or approximately 23.34 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $251,000, representing a 12.6% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 23 full-time caregivers per shift.

The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. Debt service coverage ratio was 5.29x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Occupancy stands at 93.7% with an average resident length of stay of 5 years. Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Collections for the period were 95.7% of billed charges, with bad debt of 3.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 7 full-time caregivers per shift.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community provides assisted living and memory care services under a state-issued license with 18 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Operating Performance

Operating expenses totaled $202,000 or approximately 20.73 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.25x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $99,000, representing a 5.6% increase over the prior year. Occupancy stands at 94.1% with an average resident length of stay of 8 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $387,000, representing a 4.0% increase over the prior year. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 14 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period.

Leasing and Marketing

Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Collections for the period were 93.8% of billed charges, with bad debt of 6.9% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 94.9% of billed charges, with bad debt of 6.2% of gross potential income. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Occupancy stands at 96.5% with an average resident length of stay of 10 years. Operating expenses totaled $267,000 or approximately 27.21 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 39 full-time caregivers per shift.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Effective gross income for the trailing period was $429,000, representing a 11.8% increase over the prior year.

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5110 Cable/Internet Revenue	$184,259	$172,811	$176,831	-$7,428	-4.0%	$1,922.07
5120 CAM Reimbursements	$111,676	$110,719	$111,428	-$248	-0.2%	$1,211.17
5130 Tax Reimbursements	$43,013	$45,002	$47,106	$4,093	9.5%	$512.02
5140 Insurance Reimbursements	$56,620	$59,306	$62,441	$5,821	10.3%	$678.71
5150 Percentage Rent	$110,804	$114,345	$115,882	$5,078	4.6%	$1,259.59
5160 Misc. Income	$82,718	$89,070	$90,016	$7,297	8.8%	$978.43
5170 Payroll - Management	$19,959	$19,189	$19,505	-$454	-2.3%	$212.02
5180 Payroll - Leasing	$53,130	$54,792	$56,549	$3,419	6.4%	$614.66
5190 Payroll - Maintenance	$145,915	$141,989	$151,768	$5,853	4.0%	$1,649.65
5200 Payroll Taxes & Benefits	$19,501	$19,019	$19,725	$224	1.1%	$214.40
5210 Repairs - Plumbing	$57,811	$57,060	$58,849	$1,038	1.8%	$639.66
5220 Repairs - HVAC	$135,549	$125,056	$130,793	-$4,756	-3.5%	$1,421.66
5230 Repairs - Electrical	$27,668	$26,515	$27,859	$191	0.7%	$302.82
5240 Repairs - Appliances	$206,386	$221,769	$231,753	$25,367	12.3%	$2,519.05
5250 Painting & Decorating	$37,568	$37,594	$38,944	$1,376	3.7%	$423.30
5260 Flooring	$38,041	$40,451	$42,938	$4,897	12.9%	$466.71
5270 Make-Ready / Turnover	$70,633	$68,510	$73,161	$2,529	3.6%	$795.23
5280 Landscaping Contract	$93,060	$99,289	$103,689	$10,629	11.4%	$1,127.06
5290 Snow Removal	$54,362	$58,693	$60,796	$6,434	11.8%	$660.82
5300 Janitorial	$128,386	$129,214	$130,648	$2,262	1.8%	$1,420.08
5310 Pest Control	$171,673	$165,871	$170,824	-$849	-0.5%	$1,856.79
5320 Trash Removal	$214,246	$226,174	$237,371	$23,125	10.8%	$2,580.11
5330 Elevator Contract	$119,855	$119,812	$124,180	$4,325	3.6%	$1,349.78
5340 Fire & Life Safety	$200,809	$201,611	$212,210	$11,400	5.7%	$2,306.63
5350 Security	$68,398	$66,909	$68,490	$92	0.1%	$744.46
5360 Electricity - Common	$113,787	$111,122	$114,443	$656	0.6%	$1,243.95
5370 Gas - Common	$67,783	$67,088	$67,978	$196	0.3%	$738.90
5380 Water & Sewer	$100,159	$97,182	$102,622	$2,463	2.5%	$1,115.46
5390 Telephone/Internet	$108,104	$112,287	$112,447	$4,343	4.0%	$1,222.25
5400 Advertising	$141,819	$142,714	$151,627	$9,809	6.9%	$1,648.12
5410 Resident Events	$82,956	$81,223	$84,993	$2,037	2.5%	$923.84
5420 Office Supplies	$149,316	$137,974	$145,181	-$4,135	-2.8%	$1,578.06
5430 Legal & Professional	$76,457	$73,144	$75,327	-$1,130	-1.5%	$818.77
5440 Accounting & Audit	$173,865	$179,392	$186,991	$13,126	7.5%	$2,032.52
5450 Licenses & Permits	$65,122	$63,399	$66,994	$1,872	2.9%	$728.19
5460 Management Fee	$104,118	$100,500	$104,666	$548	0.5%	$1,137.68
5470 Property Insurance	$12,780	$12,903	$13,147	$367	2.9%	$142.91
5480 Real Estate Taxes	$25,512	$24,187	$24,491	-$1,021	-4.0%	$266.21
5490 Asset Management Fee	$145,831	$152,122	$155,775	$9,944	6.8%	$1,693.20
5500 Replacement Reserves	$72,855	$74,294	$76,997	$4,142	5.7%	$836.92
5510 Roof Repairs	$96,778	$100,806	$107,282	$10,504	10.9%	$1,166.10

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Income and Expense Review

Dining, housekeeping, transportation and activities programming are included in the base fee. Effective gross income for the trailing period was $224,000, representing a 7.6% increase over the prior year. Occupancy stands at 88.8% with an average resident length of stay of 3 years. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 8.01% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $83,000, representing a 12.1% increase over the prior year. Debt service coverage ratio was 6.60x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 26 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. The community provides assisted living and memory care services under a state-issued license with 21 full-time caregivers per shift.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

Income and Expense Review

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 6 full-time caregivers per shift. Occupancy stands at 92.9% with an average resident length of stay of 6 years. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.10x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 42 full-time caregivers per shift. Operating expenses totaled $65,000 or approximately 45.82 per square foot, with real estate taxes representing the largest line item.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Service requests are tracked through a work-order system with an average completion time of 44 hours. The community provides assisted living and memory care services under a state-issued license with 20 full-time caregivers per shift. Occupancy stands at 88.9% with an average resident length of stay of 7 years.

Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Occupancy stands at 89.2% with an average resident length of stay of 6 years. Collections for the period were 90.6% of billed charges, with bad debt of 4.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. The going-in capitalization rate of 7.18% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $12,000 or approximately 8.62 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.08% reflects the in-place income and the stabilized occupancy assumption. Occupancy stands at 92.1% with an average resident length of stay of 9 years.

Management Commentary

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5040 Bad Debt	$130,371	$132,254	$140,999	$10,627	8.2%	$1,532.60
5050 Late Fees	$207,689	$216,350	$218,443	$10,754	5.2%	$2,374.38
5060 Utility Reimbursements	$169,907	$157,610	$157,767	-$12,140	-7.1%	$1,714.86
5070 Parking Income	$84,342	$85,822	$90,886	$6,544	7.8%	$987.90
5080 Application Fees	$168,855	$161,802	$162,917	-$5,938	-3.5%	$1,770.84
5090 Pet Rent	$21,424	$22,737	$23,795	$2,371	11.1%	$258.65
5100 Laundry Income	$175,535	$176,441	$179,896	$4,361	2.5%	$1,955.39
5110 Cable/Internet Revenue	$144,884	$156,418	$159,951	$15,066	10.4%	$1,738.60
5120 CAM Reimbursements	$24,742	$23,887	$25,039	$297	1.2%	$272.16
5130 Tax Reimbursements	$32,413	$34,293	$34,869	$2,456	7.6%	$379.01
5140 Insurance Reimbursements	$121,097	$115,749	$119,402	-$1,695	-1.4%	$1,297.85
5150 Percentage Rent	$146,533	$137,012	$146,459	-$73	-0.0%	$1,591.95
5160 Misc. Income	$47,469	$49,463	$50,095	$2,626	5.5%	$544.51
5170 Payroll - Management	$163,220	$174,837	$183,011	$19,791	12.1%	$1,989.25
5180 Payroll - Leasing	$12,818	$12,598	$13,292	$474	3.7%	$144.48
5190 Payroll - Maintenance	$139,495	$144,741	$150,289	$10,795	7.7%	$1,633.58
5200 Payroll Taxes & Benefits	$158,466	$161,756	$163,290	$4,825	3.0%	$1,774.90
5210 Repairs - Plumbing	$67,609	$72,907	$75,239	$7,631	11.3%	$817.82
5220 Repairs - HVAC	$19,112	$20,399	$21,664	$2,552	13.4%	$235.48
5230 Repairs - Electrical	$207,094	$217,265	$218,715	$11,621	5.6%	$2,377.33
5240 Repairs - Appliances	$30,785	$32,757	$33,180	$2,395	7.8%	$360.65
5250 Painting & Decorating	$139,025	$130,613	$132,837	-$6,188	-4.5%	$1,443.88
5260 Flooring	$159,657	$166,318	$166,510	$6,854	4.3%	$1,809.89
5270 Make-Ready / Turnover	$148,958	$157,980	$160,675	$11,718	7.9%	$1,746.47
5280 Landscaping Contract	$22,589	$21,218	$22,035	-$553	-2.5%	$239.51
5290 Snow Removal	$178,055	$176,709	$179,529	$1,474	0.8%	$1,951.40
5300 Janitorial	$60,585	$58,336	$58,662	-$1,922	-3.2%	$637.63
5310 Pest Control	$105,312	$99,643	$100,329	-$4,982	-4.7%	$1,090.54
5320 Trash Removal	$44,761	$44,717	$47,116	$2,355	5.3%	$512.13
5330 Elevator Contract	$86,044	$91,876	$96,703	$10,659	12.4%	$1,051.12
5340 Fire & Life Safety	$69,193	$74,285	$76,414	$7,221	10.4%	$830.59
5350 Security	$152,025	$162,775	$169,459	$17,433	11.5%	$1,841.94
5360 Electricity - Common	$164,293	$174,223	$178,536	$14,243	8.7%	$1,940.61
5370 Gas - Common	$72,183	$66,934	$67,637	-$4,546	-6.3%	$735.19
5380 Water & Sewer	$197,649	$198,893	$207,134	$9,485	4.8%	$2,251.46
5390 Telephone/Internet	$29,720	$27,791	$28,481	-$1,240	-4.2%	$309.57
5400 Advertising	$121,692	$129,054	$135,302	$13,611	11.2%	$1,470.68
5410 Resident Events	$195,835	$196,219	$209,914	$14,079	7.2%	$2,281.68
5420 Office Supplies	$144,768	$147,918	$149,952	$5,184	3.6%	$1,629.91
5430 Legal & Professional	$190,324	$193,920	$207,096	$16,772	8.8%	$2,251.05
5440 Accounting & Audit	$70,131	$67,976	$69,331	-$800	-1.1%	$753.60
5450 Licenses & Permits	$201,555	$199,296	$199,636	-$1,919	-1.0%	$2,169.96
5460 Management Fee	$43,557	$45,542	$46,777	$3,220	7.4%	$508.44

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Operating Performance

Effective gross income for the trailing period was $442,000, representing a 5.7% increase over the prior year. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x.

Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Effective gross income for the trailing period was $426,000, representing a 10.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $305,000 or approximately 38.19 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 7 hours. Collections for the period were 94.9% of billed charges, with bad debt of 6.0% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 20 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. The community provides assisted living and memory care services under a state-issued license with 6 full-time caregivers per shift. Occupancy stands at 95.9% with an average resident length of stay of 6 years.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Dining, housekeeping, transportation and activities programming are included in the base fee. Effective gross income for the trailing period was $286,000, representing a 8.9% increase over the prior year. Operating expenses totaled $53,000 or approximately 15.75 per square foot, with real estate taxes representing the largest line item.

The community provides assisted living and memory care services under a state-issued license with 46 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 93.2% with an average resident length of stay of 10 years. The going-in capitalization rate of 8.02% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $197,000, representing a 3.7% increase over the prior year.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 43 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. Collections for the period were 94.5% of billed charges, with bad debt of 4.3% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

Valuation Discussion

Debt service coverage ratio was 5.75x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Effective gross income for the trailing period was $31,000, representing a 11.8% increase over the prior year. The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $25,000 or approximately 43.49 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses.

Leasing and Marketing

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5320 Trash Removal	$151,803	$162,615	$164,639	$12,835	8.5%	$1,789.55
5330 Elevator Contract	$141,105	$134,368	$138,649	-$2,456	-1.7%	$1,507.05
5340 Fire & Life Safety	$165,862	$161,126	$164,914	-$948	-0.6%	$1,792.54
5350 Security	$101,025	$95,983	$99,472	-$1,553	-1.5%	$1,081.22
5360 Electricity - Common	$55,833	$57,586	$60,881	$5,048	9.0%	$661.75
5370 Gas - Common	$95,823	$102,482	$103,871	$8,047	8.4%	$1,129.03
5380 Water & Sewer	$97,235	$103,487	$106,392	$9,157	9.4%	$1,156.44
5390 Telephone/Internet	$180,834	$178,070	$178,325	-$2,509	-1.4%	$1,938.32
5400 Advertising	$197,742	$202,850	$209,064	$11,322	5.7%	$2,272.44
5410 Resident Events	$138,852	$142,112	$148,232	$9,380	6.8%	$1,611.22
5420 Office Supplies	$13,909	$13,139	$13,251	-$658	-4.7%	$144.03
5430 Legal & Professional	$52,146	$55,080	$57,226	$5,080	9.7%	$622.02
5440 Accounting & Audit	$123,942	$117,281	$121,766	-$2,176	-1.8%	$1,323.55
5450 Licenses & Permits	$208,863	$210,798	$223,858	$14,995	7.2%	$2,433.24
5460 Management Fee	$13,451	$14,057	$14,372	$921	6.8%	$156.22
5470 Property Insurance	$144,509	$144,604	$149,533	$5,024	3.5%	$1,625.36
5480 Real Estate Taxes	$138,481	$137,417	$137,960	-$521	-0.4%	$1,499.57
5490 Asset Management Fee	$64,650	$69,056	$69,516	$4,865	7.5%	$755.60
5500 Replacement Reserves	$152,196	$140,184	$142,067	-$10,129	-6.7%	$1,544.21
5510 Roof Repairs	$16,569	$17,469	$18,099	$1,530	9.2%	$196.73
5520 Parking Lot Repairs	$143,210	$136,134	$144,920	$1,710	1.2%	$1,575.21
5530 Signage	$149,254	$152,457	$156,760	$7,505	5.0%	$1,703.91
5540 Tenant Improvements	$46,256	$47,996	$48,329	$2,073	4.5%	$525.31
5550 Leasing Commissions	$175,986	$181,503	$192,127	$16,141	9.2%	$2,088.34
5000 Gross Potential Rent	$111,868	$113,939	$117,174	$5,306	4.7%	$1,273.63
5010 Loss to Lease	$44,568	$44,553	$47,328	$2,759	6.2%	$514.43
5020 Vacancy Loss	$182,594	$171,357	$174,147	-$8,447	-4.6%	$1,892.91
5030 Concessions	$11,162	$11,135	$11,142	-$20	-0.2%	$121.11
5040 Bad Debt	$60,606	$64,236	$65,170	$4,563	7.5%	$708.36
5050 Late Fees	$171,029	$158,450	$161,354	-$9,675	-5.7%	$1,753.84
5060 Utility Reimbursements	$163,541	$169,590	$171,629	$8,088	4.9%	$1,865.53
5070 Parking Income	$177,999	$169,041	$170,134	-$7,865	-4.4%	$1,849.28
5080 Application Fees	$161,688	$151,034	$155,057	-$6,631	-4.1%	$1,685.40
5090 Pet Rent	$69,434	$72,044	$75,803	$6,369	9.2%	$823.95
5100 Laundry Income	$195,493	$183,169	$193,975	-$1,518	-0.8%	$2,108.43
5110 Cable/Internet Revenue	$117,137	$113,234	$120,450	$3,313	2.8%	$1,309.23
5120 CAM Reimbursements	$140,475	$151,598	$158,788	$18,313	13.0%	$1,725.96
5130 Tax Reimbursements	$89,486	$87,582	$89,601	$115	0.1%	$973.93
5140 Insurance Reimbursements	$194,686	$190,747	$203,083	$8,397	4.3%	$2,207.43
5150 Percentage Rent	$104,093	$98,391	$100,883	-$3,211	-3.1%	$1,096.55

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Summary and Notes

Operating Performance

Operating expenses totaled $88,000 or approximately 26.57 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $104,000, representing a 5.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. The going-in capitalization rate of 7.60% reflects the in-place income and the stabilized occupancy assumption.

Occupancy stands at 93.0% with an average resident length of stay of 5 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Collections for the period were 93.0% of billed charges, with bad debt of 3.4% of gross potential income. Occupancy stands at 96.5% with an average resident length of stay of 10 years.

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Collections for the period were 89.7% of billed charges, with bad debt of 6.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 42 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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